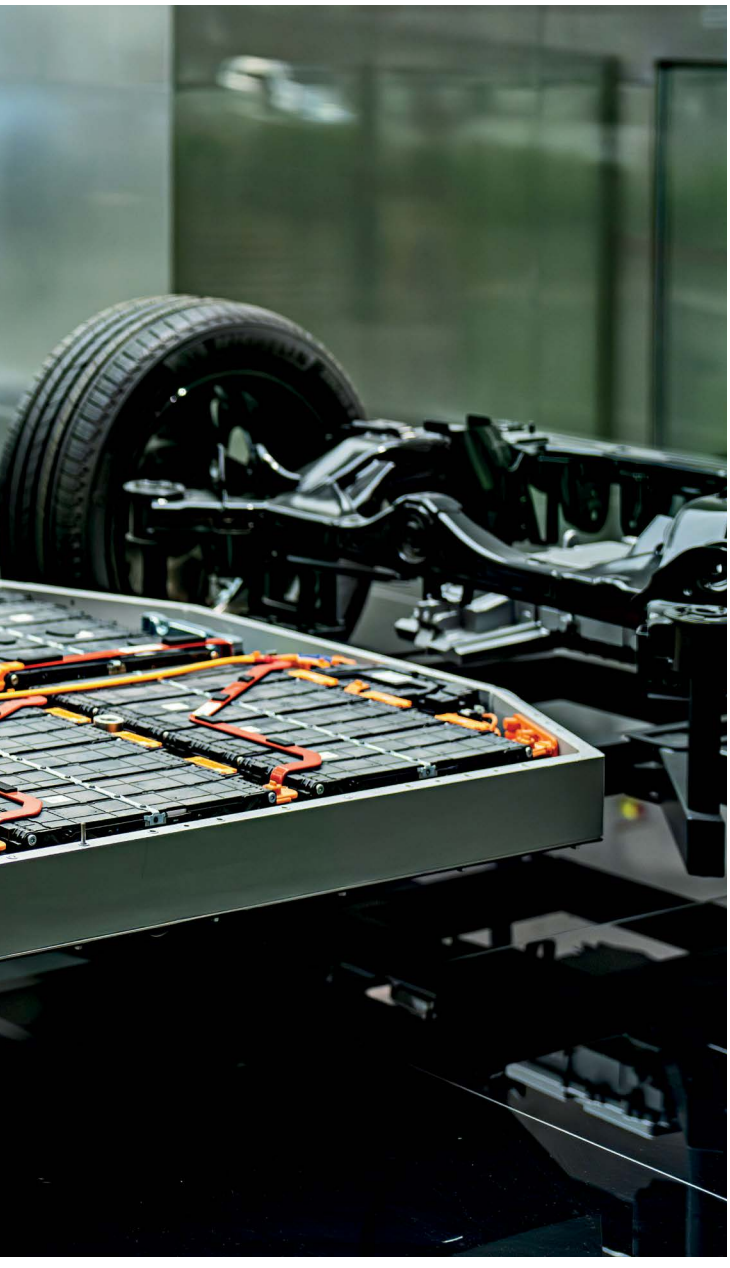


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THE CHALLENGE

- **India's cell imports surged 94% year-on-year to ₹15,721 crore in the first quarter of FY27**
- **No incentive has been disbursed under the PLI ACC Scheme yet as all beneficiaries have missed the timeline**
- **In August, Ola Cell Technologies got approval for revised timelines, unlocking up to ₹7,240 crore in PLI incentives till 2031. Disbursements will be made from the December quarter**
- **ACC Energy Storage, a subsidiary of beleaguered Rajesh Exports, faces a Sebi probe for allegedly inflating revenues, and has not been given an extension**
- **The industry wants capital as well as operational incentives for building the battery ecosystem**

MORE INDIANS are opting for electric cars and scooters, turning what were once niche products into an increasingly familiar sight on the roads. The trend picked up further after the West Asia war led to a rise in fuel prices. Electric vehicles now account for 8% of new car sales and 11% of new two-wheeler sales.

The rapid electrification may have helped India reduce its fuel import bill, but it has accelerated import of another highly specialised commodity—the battery cell. India's cell imports surged 94% year-on-year to ₹15,721 crore in the first quarter of FY27, according to commerce ministry data. In July, battery cell imports soared 159% to ₹7,209 crore compared with ₹2,772 crore in the corresponding month last year. In all of FY26, lithium-ion cell imports rose 64% to ₹41,667 crore. China's share is 85%. The spike in battery cell imports comes as the government is promoting electrification through incentives such as PM E Drive, PM-eBus Sewa, and the production-linked incentive (PLI) scheme for auto and auto components.

The government has been trying to reduce this dependence but with limited success. To make India self-reliant in battery cells, it rolled out a ₹18,100-crore PLI Scheme for Advanced Chemistry Cells (ACC) in May 2021. Even though it awarded 40 GWh (gigawatt-hour) of battery cell capacity, cell production has barely begun. Except Bhavish Aggarwal-led Ola Cell Technolo-